4. Interest payments is the single largest component of the non-plan revenue expenditure of the Union Government.

Which of these statements are correct?

(a) 1, 2 and 3 (b) 1 and 4

(c) 2, 3 and 4 (d) 1, 2, 3 and 4

Ans. (c) : External liabilities or debt refers to money borrowed from a source outside the country. External debt has to be paid back in the currency in which it is borrowed. Hence statement 1 is not correct. Rest of the statements is correct.

70. Consider the following statements:

1. NTPC is the largest power utility in India

2. ONGC accounts for half of the LPG production in India.

3. Indian Oil Corporation operates all the oil refineries in India.

4. The Indian Ordinance Factory is the largest departmentally run industrial undertaking in the country.

Which of these statements is/are correct?

(a) 1 only (b) 2 and 3

(c) 2, 3 and 4 (d) 1 and 3

Ans. (*) : In the given statements only 1 &4 are correct because ONGC, IOC, HPCL are the major LPG producers. But 3 is wrong because all the refineries are not run by Indian oil corporation. Many private companies also have their own refineries.

71. Consider the following:

1. Currency with the public

2. Demand deposits with banks

3. Time deposits with banks

Which of these are included in Broad Money (M 3) in India?

(a) 1 and 2 (b) 1 and 3

(c) 2 and 3 (d) 1, 2 and 3

Ans. (d) : Narrow money is the most liquid part of the money supply because the demand deposits can be withdrawn anytime during the banking hours. Time deposits on the other hand have a fixed maturity period and hence cannot be withdrawn before expiry of this period. When we add the time despots into the narrow money, we get the broad money, which is denoted by M3. M3 = Narrow money + Time Deposits of public with banks. Broad money does not include the interbank deposits such as deposits of banks with RBI or other banks. At the same time, time deposits of public with all banks including the cooperative banks are included in the Broad Money.

72. Which one of the following committees recommended the abolition of reservation of items for the small scale sector in industry?

(a) Abid Hussain Committee

(b) Narasimhan Committee

(c) Nayak Committee

(d) Rakesh Mohan Committee

Ans. (a) : Abid Hussain Committee, 1997 recommended total abolition and desired replacing policy of reservation with a policy of promotion and strengthening of small scale units.

73. India's population growth during the 20th century can be classified into four distinct phases. Match List I with List II and select the correct answer using the codes given below the lists:

	List I (Period)		List II (Phase)
A.	1901-1921	1.	Steady growth
B.	1921-1951	2.	Rapid high growth
C.	1951-1981	3.	Stagnant growth
D.	1981-2001	4.	High growth with definite signs of slowdown

	A	B	C	D
(a)	3	1	4	2
(b)	1	3	2	4
(c)	3	1	2	4
(d)	1	3	4	2

Ans. (c) :	Period	Phase
A.	1901–1921	Stagnant Growth Phase
B.	1921–1951	Steady Growth Phase
C.	1951–1981	Rapid High Growth Phase
D.	1981–2001	High Growth with definite

74. With reference to the Wholesale Price Index (WPI), consider the following statements:

1. The new WPI series with base 1993–94 = 100 became effective from April 1998.

2. In the new WPI series, the weight for primary articles has gone down by 10 percentage points.

3. The weight for electricity has increases in the new WPI series.

Which of these statements are correct:

(a) 1, 2 and 3 (b) 2 and 3

(c) 1 and 3 (d) 1 and 2

Ans. (b) : The new WPI series with base 1993-94 = 100 became effective from April 2000. In the new WPI series, the weight for primary articles has gone down by 10 percentage points from 32 -22%. The weight for electricity has increased in the new WPI series from 11-14%.

75. Global capital-flows to developing countries increased significantly during the nineties. In view of the East Asian financial crisis and Latin American experience, which type of inflow is good for the host country?

(a) Commercial loans

(b) Foreign Direct Investment

(c) Foreign Portfolio Investment

(d) External Commercial Borrowings

Ans. (b) : There are two forms of foreign investment in any country - foreign direct investment and portfolio investment. In foreign direct investment, investors bring in technical knowledge, machinery and capital goods along with investing capital directly in various sectors. Whereas in portfolio investment, only money is invested. Therefore, considering the needs of the developing country, foreign direct investment seems appropriate. (Source - Economy - Datta - Sundaram

76. In terms of value, which one of the following commodities accounted for the largest agricultural exports by India during the three year period from 1997-1998 to 1999-2000?

(a) Cereals (b) Marine products

(c) Spices (d) Tea

Ans. (b) : Largest agricultural exports were of marine products followed by tea and spices.

77. Five Year plan in India is finally approved by:

(a) Union Cabinet

(b) President on the advice of Prime Minister

(c) Planning Commission

(d) National Development Council

Ans. (d) : In India plans were formulated by Planning Commission and were finally approved by National Development Council. All state Chief Ministers are members of NDC. The NDC is headed by Prime Minister of India.

78. Among the following major stock exchanges of India, the exchange which recorded highest turnover during the year 200-01 is

(a) Bombay Stock Exchange

(b) Calcutta Stock Exchange

(c) Delhi Stock Exchange

(d) National Stock Exchange

Ans. (a) : Only in the year 2000-01, Bombay Stock Exchange accounted 46.1% of total contracts and 41.1% of total turnover of derivative segment of India.

PHYSICS

79. Assertion (A) : An iron ball floats on mercury but gets immersed in water.

Reason (R) : The specific gravity of iron is more than that of mercury.

(a) Both A and R are individually true and R is the correct explanation of A.

(b) Both A and R are individually true but R is NOT the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

Ans. (c) : Iron with specific gravity less than that of mercury but more than that of water, floats in the former but gets immersed in the second. Hence, option C is correct.

80. Assertion (A) : With the increase of temperature, the viscosity of glycerin increases.

Reason (R) : Rise of temperature increases kinetic energy of molecules.

(a) Both A and R are individually true and R is the correct explanation of A.

(b) Both A and R are individually true but R is NOT the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

Ans. (d) : Increase in temperature decreases the viscosity of a liquid and increases its fluidity. Thus with the increase of temperature viscosity of glycerine will decrease. Hence (A) is false. But R is correct as with the rise of temperature the kinetic energy of the liquid increases as kinetic energy of liquid molecules is directly proportional to absolute temperature.

81. Consider the following natural phenomena:

1. Terrestrial heating 2. Reflection of light

3. Refraction of light 4. Diffraction of light

Due to which of these phenomena is mirage formed?

(a) 1 and 2 (b) 2, 3 and 4

(c) 1 and 3 (d) 4 only

Ans. (c) : Convection currents of hot air rising off a surface have a lower density than the air directly above it. The difference in density cause light passing through the air to refract differently, which causes the formation of mirage.